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Douglas W. Diamond, often called the founder of modern banking theory, won the Nobel Memorial Prize in Economic Sciences in 2022 for path-breaking research aimed at enhancing the understanding of the role of banks in the economy, especially during financial crises. The 69-year-old Merton H. Miller Distinguished Service Professor of Finance at the University of Chicago's Booth School of Business shared the prize with economists Ben Bernanke of the Brookings Institution and Philip Dybvig of Washington University in St. Louis. Over a video call with *Business Today's* Anand Adhikari, Diamond shares his views on the developing economic situation around the world and its implications for India. Edited excerpts:

Q: What is the long-term impact of higher inflation, higher interest rates, and the strengthening of the dollar in emerging markets, particularly India?

A: I have always thought about long periods of low interest rates in the US and other countries—as well as quantitative easing—as potentially excessive injections of liquidity, leading to expectations among financial institutions and firms that interest rates might stay close to zero forever. I thought there were some financial stability issues with that, as there was too much reliance on short-term debt. That's the backdrop. I think that maybe they went too far in both Europe and the US by keeping interest rates where they

were, and not thinking ahead enough about building up a big balance sheet and how difficult it would be to unwind that. That sets up vulnerabilities in the financial sector, including stability issues.

Now, we need to figure out how to stop the inflation and stop inflation expectations... we need to withdraw some liquidity. We need to raise interest rates. The metaphor is that we need to be pushing harder and harder on the brakes, rather than slamming on the brakes. If you slam on the brakes, then you can get two things—[one,] you can get financial instability, like we saw in the UK and their insurance sector; [and two,] if there is a large, unexpected tightening, emerging markets will suffer.

Developed markets like India that are almost ahead of everybody else and have exchange rates that float around relative to each other based on interest rate spreads... [are affected] throughout the rest of the world. And I am pretty convinced that the Federal Reserve cares about that as it reflects back on the US. Many people think that this [interest rates] should be coordinated across countries; my co-author Raghuram Rajan certainly thinks that's something that should be coordinated. [If] we have the US stepping on the brakes too hard, it will potentially cause problems—the US hasn't yet, but I believe it will—and that will almost certainly cause problems in the rest of the world... I couldn't say they're doing the wrong thing right now; they need to tighten, but they need to do it in a measured, predictable way.

Q: Global central bankers will do what is best for them. How should a country like India tackle this issue so that the gap in interest rates with the US does not widen?

A: It's a tough time to be a central banker anywhere, but particularly if you're not the US, and you have to respond to US policy. I would be particularly concerned about the financial stability issues in countries outside the US. If you allow the exchange rates spread, particularly the real interest rates spread between the real interest rates after inflation in India and the US, to get really big, that's going to make the US currency go up relative to the rupee. And that's not going to be great for anybody. So, they have to, in some sense, follow the US; they probably want to be a little more measured, but they have to follow interest rates up, which means you have to tighten your own. Your central bank basically has to tighten unless it wants a huge exchange rate change. And the exchange rate change can help your exporters, but